

value too, at least some of them, but they only tell a very small part of the story. I start by giving you some general statistics on this strategy and then take a look at the real details.

The daily returns distribution is a good place to start. Figure 5.1 provides a quick overview of what you could expect your daily stress level to be like. This is a histogram showing the distribution of daily return numbers. What we can see here is that there is a strong concentration of returns around and slightly above the zero line.

You can also see that an overwhelming amount, over 90% of all days, see returns in the range of plus or minus 4%. There are very few outliers, but they are there, nonetheless. There are only a handful of double digit days, six positive return days in the double digits and only two negative. This is something that you would want to avoid, and when designing a live model you may want to take precautions to prevent or at least mitigate such days. It worked out in our favour here, but the stress level of having double digit days is no trifle.

Another way to get a better feel for how a strategy behaves in the long run is to look at the underwater plot, which is the drawdown over time. Figure 5.2 shows this information in black, behind the strategy curve itself. As you see there, we are underwater almost all the time, meaning that we almost always are in a drawdown. That's the nature of this kind of strategy, where we usually get a brief and sharp move up, followed by a pullback, and there's nothing worrying about that in itself. The thing to keep an eye on is the span between new highs, when that underwater plot goes back up to

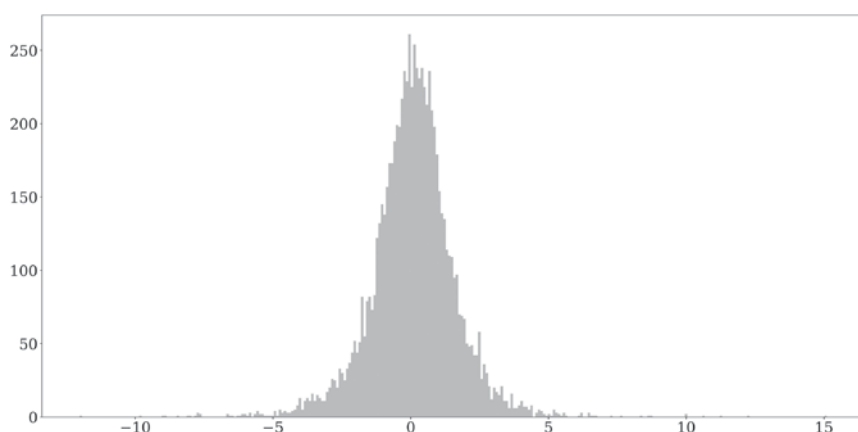


FIGURE 5.1 Daily returns distribution.